

2.4 Making financial decisions

Paper 2 / Theme 2 · Edexcel GCSE Business 1BS0

Standalone question bank — with original figures, charts, diagrams

Each question carries its full case-study extract (text), data tables, AND embedded original-paper pages for any figures / charts / bar-gate graphs / diagrams / photos. Print and revise without needing the original papers.

- **Total questions:** 25
- **Total marks:** 46
- **Sub-topics covered:** 2
- **Questions with embedded source pages:** 25
- **Original PDF pages embedded:** 39

By series:

- **Specimen SAMs:** 2 questions
- **June 2019:** 4 questions
- **Nov 2020:** 3 questions
- **Nov 2021:** 5 questions
- **June 2022:** 4 questions
- **June 2023:** 3 questions
- **June 2024:** 4 questions

2.4.1 Business calculations (18 questions)

Specimen SAMs · Paper 2 · Q2(c) · \$A

Calculate

2 marks

DATA FOR QUESTION 2

Table 1 contains information about a business. Sales revenue: £300 000. Cost of sales: £210 000. Gross profit: £90 000.

SOURCE PAGES FROM ORIGINAL PAPER

Question number	Indicative content	Mark
7(e) Evaluate	• Entrepreneurs use market research to identify gaps in the market (AO1b). • Some small businesses can suffer at times when consumer income is falling (AO1b). • Sally has conducted some primary research into competitors in her local area (as evidenced in Figure 6) and identified a gap in the market identified for personal trainers (AO2). • As unemployment is rising and consumer income is falling, Sally's potential customers are likely to spend less on fitness and other non-essential services (AO2). • Sally plans to differentiate her business through the use of social media and technology. This will help her to create a USP which would appeal to younger market segments and help her business stand out from competitors (AO3a). • Sally currently has the security of a well-paid job but if she did not get enough customers in the short term she may find that she does not have enough income. If she chooses to be a sole trader, unlimited liability will mean her personal possessions are at risk (AO3a). • As there are just two main competitors in this market, Sally's business idea has a good chance of success. By creating a USP based around technology, she has a good opportunity to differentiate her business from rival personal trainers (AO3b). • The success of the business idea depends on some factors that are beyond Sally's control. However, if Sally gains a reputation as an excellent personal trainer the degree to which these factors will reduce her success are limited (AO3b).	(12) AO1b=3 AO2=3 AO3a=3 AO3b=3

Using the information in Table 1 calculate the gross profit margin. You are advised to show your workings.

MARK SCHEME ANSWER

Substitution into correct formula: $(£90\,000/£300\,000) \times 100$ (1). Answer: 30% (1). Award full marks for correct numerical answer without working. Do not award a mark for 30 if the correct unit (%) is not stated.

DATA FOR QUESTION 3

Figure 1 shows sales volumes for a business during the first three months of 2016: January 3000, February 5000, March 4000. The selling price of the product is £500.

SOURCE PAGES FROM ORIGINAL PAPER

Please check the examination details below before entering your candidate information

Candidate surname		Other names	
Centre Number		Candidate Number	

Pearson Edexcel Level 1/Level 2 GCSE (9–1)

Sample assessment materials for first teaching September 2017

Time 1 hour 45 minutes

Paper reference **1BS0/02**

Business
PAPER 2: Building a business

You must have:
Source Booklet (enclosed)

Total Marks

Instructions

- Use **black** ink or ball-point pen.
- **Fill in the boxes** at the top of this page with your name, centre number and candidate number.
- There are **three** sections in this paper.
- Answer **all** the questions in the spaces provided
– *there may be more space than you need.*
- Calculators may be used.
- You are advised to **show all your working out** with **your answer clearly identified** at the **end of your solution**.

Information

- The total mark for this paper is 90.
- The marks for **each** question are shown in brackets
– *use this as a guide as to how much time to spend on each question.*

Advice

- Read each question carefully before you start to answer it.
- Try to answer every question.
- Check your answers if you have time at the end.

Turn over ►

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S 5 3 8 3 9 A 0 1 2 0



Pearson Edexcel Level 1/Level 2 GCSE (9–1) in Business – Sample assessment materials
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Using the information in Figure 1, calculate the sales revenue of the business for the first three months of 2016. You are advised to show your workings.

MARK SCHEME ANSWER

Substitution into correct formula: $£500 \times (3000 + 5000 + 4000)$ (1). Answer: £6 000 000 (1). Award full marks for correct numerical answer without working.

DATA FOR QUESTION 3

Figure 1 shows the sales revenue of a business over three years. 2015: £750 000; 2016: £1 500 000; 2017: £825 000.

SOURCE PAGES FROM ORIGINAL PAPER

3 (a) Which **one** of the following is a barrier to international trade?

Select **one** answer.

(1)

- ☐ A Aesthetics
- ☐ B Ethics
- ☐ C Tariffs
- ☐ D Trade-offs

Figure 1 shows the sales revenue of a business over three years.

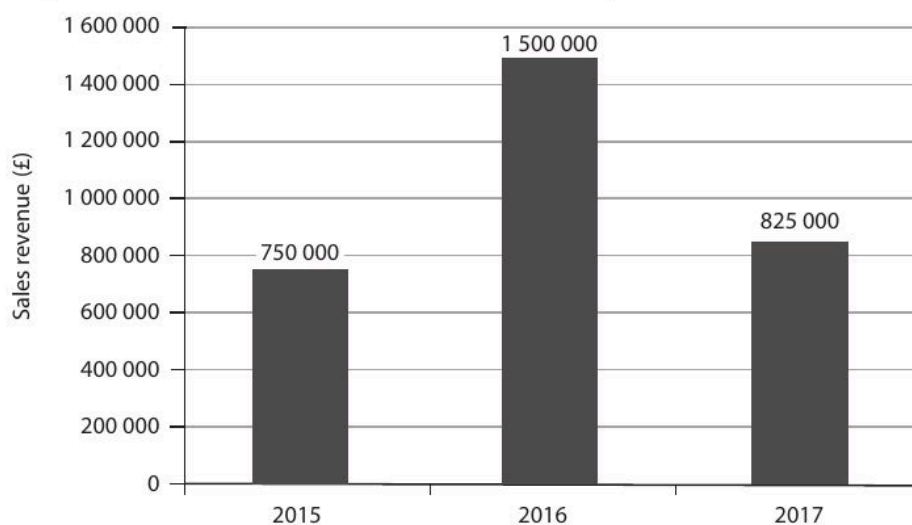


Figure 1

(b) Using the information in Figure 1, calculate the percentage increase in sales revenue from 2015 to 2016. You are advised to show your workings.

(2)

..... %



7

Turn over ►

Using the information in Figure 1, calculate the percentage increase in sales revenue from 2015 to 2016. You are advised to show your workings.

MARK SCHEME ANSWER

Substitution into correct formula: $((£1\,500\,000 - £750\,000) / £750\,000) \times 100$ (1). Answer: 100% (1). Award full marks for correct numerical answer without working.

CASE STUDY EXTRACT

Mind Candy Ltd produces games and apps for computers and mobile devices. Its most successful game was Moshi Monsters. The game was aimed at young teenagers and was a global hit, with 80 million users in 2012. In 2013, Mind Candy made large losses as sales revenue fell due to the falling popularity of its games. This was blamed on the short product life cycle of Moshi Monsters and increased competition in its market. As a result of these losses, Mind Candy reduced its workforce of software developers. Mind Candy now needed to raise £1.2 million of extra finance. It required this finance to pay existing costs and fund the development of new apps such as Petlandia. Mind Candy believes Petlandia will allow it to return to organic growth. The app is free to download and allows players to design a virtual version of their own pet. This virtual pet can go on an adventure within the app. The adventure is then turned into a personalised storybook which can be purchased for £19.99.

DATA FOR QUESTION 5

Mind Candy case study. Table 2 contains information about Mind Candy's performance in 2013. Sales revenue: £30 560 692; Gross profit: £22 190 385; Other operating expenses and interest: £25 044 332.

SOURCE PAGES FROM ORIGINAL PAPER

SECTION B

Answer ALL questions.

Read the following extract before answering Questions 4, 5 and 6.

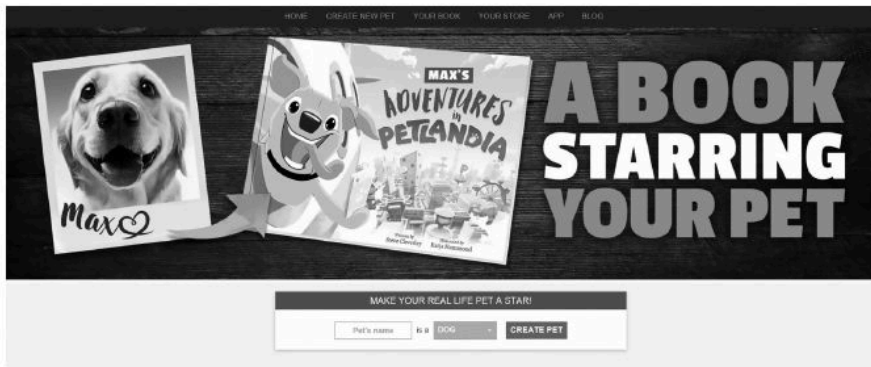
Write your answers in the spaces provided.



© Mind Candy

Mind Candy Ltd produces games and apps for computers and mobile devices. Its most successful game was Moshi Monsters. The game was aimed at young teenagers and was a global hit, with 80 million users in 2012.

In 2013, Mind Candy made large losses as sales revenue fell due to the falling popularity of its games. This was blamed on the short product life cycle of Moshi Monsters and increased competition in its market. As a result of these losses, Mind Candy reduced its workforce of software developers.



(Source from: <https://www.petlandia.com/custom-book.html#create>)

Mind Candy now needed to raise £1.2 million of extra finance. It required this finance to pay existing costs and fund the development of new apps such as Petlandia. Mind Candy believes Petlandia will allow it to return to organic growth. The app is free to download and allows players to design a virtual version of their own pet. This virtual pet can go on an adventure within the app. The adventure is then turned into a personalised storybook which can be purchased for £19.99.

(Source from: 'Moshi Monsters maker Mind Candy fears administration as sales tumble further' by Christopher Williams, 11 OCTOBER 2016 © Telegraph Media Group Limited)



5 Table 2 contains information about *Mind Candy's* performance in 2013.

Sales revenue	£30 560 692
Gross profit	£22 190 385
Other operating expenses and interest	£25 044 332

(Source: adapted from <https://beta.companieshouse.gov.uk/company/05119483/filing-history>)

Table 2

- (a) Using the information in Table 2, calculate *Mind Candy's* cost of sales. You are advised to show your workings.

(2)

£

- (b) Using the information in Table 2, calculate, to 2 decimal places, *Mind Candy's* gross profit margin. You are advised to show your workings.

(2)

..... %



P 5 9 9 2 6 A 0 1 3 2 4

Using the information in Table 2, calculate Mind Candy's cost of sales. You are advised to show your workings.

MARK SCHEME ANSWER

Substitution into correct formula: £30 560 692 - £22 190 385 (1). Answer: £8 370 307 (1). Award full marks for correct numerical answer without working.

DATA FOR QUESTION 2

Table 1 contains financial information about the performance of a business. Sales revenue £625,000; Cost of sales £145,000; Other operating expenses and interest £200,000.

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Table 1 contains financial information about the performance of a business.

Sales revenue	£625 000
Cost of sales	£145 000
Other operating expenses and interest	£200 000

Table 1

- (c) Using the information in Table 1, calculate the gross profit made by the business.
You are advised to show your workings.

(2)

£

- (d) Explain **one** benefit to a business of withdrawing a product when it enters the decline phase of its product life cycle.

(3)



P 6 1 6 4 7 A 0 5 2 4

5

Turn over ►

Using the information in Table 1, calculate the gross profit made by the business. You are advised to show your workings.

MARK SCHEME ANSWER

Substitution into correct formula: £625,000 - £145,000 (1). Answer: £480,000 (1). Award full marks for correct numerical answer without working.

DATA FOR QUESTION 3

In 2018 a business sold three products, X, Y and Z. Figure 1 shows the sales revenue generated for each of these products. Product X: £700,000; Product Y: £150,000; Product Z: £350,000.

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3 (a) Which **one** of the following is a stage in the sales process?

(1)

Select **one** answer.

- ☐ A Product knowledge
- ☐ B Product quality
- ☐ C Production
- ☐ D Productivity

In 2018 a business sold three products, X, Y and Z. Figure 1 shows the sales revenue generated for each of these products.

Sales revenue for products X, Y and Z in 2018

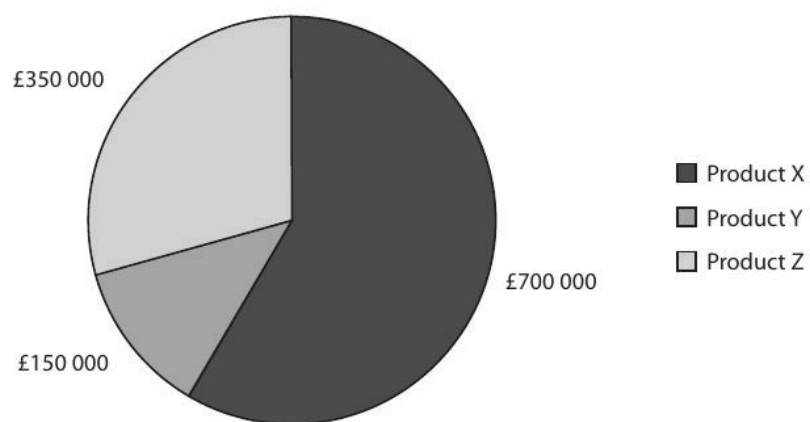


Figure 1

(b) Using the information in Figure 1, calculate, to 2 decimal places, the percentage of total sales revenue made by product X in 2018. You are advised to show your workings.

(2)

.....%



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Turn over ►

Using the information in Figure 1, calculate, to 2 decimal places, the percentage of total sales revenue made by product X in 2018. You are advised to show your workings.

MARK SCHEME ANSWER

Substitution into correct formula: $(£700,000 \div (£700,000 + £150,000 + £350,000)) \times 100$ (1). Answer: 58.33% (1). Award full marks for correct numerical answer without working.

DATA FOR QUESTION 2

Table 1 contains financial information about a business. Sales revenue: £800 000, Cost of sales: £225 000, Gross profit: £575 000, Other operating expenses and interest: £200 000.

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Table 1 contains financial information about a business.

Sales revenue	£800 000
Cost of sales	£225 000
Gross profit	£575 000
Other operating expenses and interest	£200 000

Table 1

- (c) Using the information in Table 1, calculate the net profit of the business.

(2)

£

- (d) Explain **one** reason why aesthetics may be important in the design mix of a product.

(3)

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Using the information in Table 1, calculate the net profit of the business.

MARK SCHEME ANSWER

Substitution into correct formula: £575 000 - £200 000 (1). Answer: £375 000 (1). Award full marks for correct numerical answer without working.

CASE STUDY EXTRACT

Tesla is a public limited company based in California, USA. Its founder and main shareholder, Elon Musk, wanted to produce an electric car that is affordable to a large number of potential customers. This car is called the Tesla Model 3 (Figure 3). Introduced in 2017, the basic version of the Model 3 was originally priced at \$50 000 and the company wanted to reduce this price to \$35 000 by 2019. However, this was difficult to achieve because Tesla's California factory suffered from low levels of productivity. These problems resulted in Tesla making a \$976 million loss in 2018. Following the introduction of tariffs on US imports by the Chinese government in 2018, Tesla decided to invest \$5 billion in the construction of a new car factory in Shanghai, China. This factory will use flow production. However, with only \$2.4 billion of available capital, Tesla needs to raise external finance to fund it. In 2019, Tesla decided to close most of its showrooms to reduce costs. The company believes customers will be happy to purchase electric cars using e-commerce. (Source: adapted from <https://www.telegraph.co.uk/technology/2019/02/28/tesla-launches-long-awaited-35000-car-closes-dealerships-move/> and <https://www.bloomberg.com/news/articles/2018-08-01/tesla-is-said-to-plan-5-billion-investment-in-chinese-factory>)

DATA FOR QUESTION 5

Table 2 contains information about the price of a Tesla Model 3 car between 2017 and 2019. 2017: \$50 000, 2018: \$41 000, 2019: \$35 000.

SOURCE PAGES FROM ORIGINAL PAPER

SECTION B

Answer ALL questions.

Read the following extract before answering Questions 4, 5 and 6.

Write your answers in the spaces provided.

Tesla is a public limited company based in California, USA. Its founder and main shareholder, Elon Musk, wanted to produce an electric car that is affordable to a large number of potential customers. This car is called the *Tesla* Model 3 (Figure 3).

Introduced in 2017, the basic version of the Model 3 was originally priced at \$50 000 and the company wanted to reduce this price to \$35 000 by 2019. However, this was difficult to achieve because *Tesla*'s California factory suffered from low levels of productivity. These problems resulted in *Tesla* making a \$976 million loss in 2018.



(Source: Grzegorz Czapski/Shutterstock)

Figure 3: *Tesla* Model 3 electric car

Following the introduction of tariffs on US imports by the Chinese government in 2018, *Tesla* decided to invest \$5 billion in the construction of a new car factory in Shanghai, China. This factory will use flow production. However, with only \$2.4 billion of available capital, *Tesla* needs to raise external finance to fund it.

In 2019, *Tesla* decided to close most of its showrooms to reduce costs. The company believes customers will be happy to purchase electric cars using e-commerce.

(Source: adapted from <https://www.telegraph.co.uk/technology/2019/02/28/tesla-launches-long-awaited-35000-car-closes-dealerships-move/> and <https://www.bloomberg.com/news/articles/2018-08-01/tesla-is-said-to-plan-5-billion-investment-in-chinese-factory>)





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- 5 Table 2 contains information about the price of a *Tesla* Model 3 car between 2017 and 2019.

Year	Price (in US\$)
2017	50 000
2018	41 000
2019	35 000

Table 2

- (a) Using the information in Table 2, calculate, the percentage reduction in the price of a *Tesla* Model 3 car between 2017 and 2019.

(2)

..... %

- (b) Using the information in Table 2, calculate the average price of a *Tesla* Model 3 car over the three year period between 2017 and 2019.

(2)

£



P 6 6 4 7 9 A 0 1 3 2 4



Using the information in Table 2, calculate, the percentage reduction in the price of a Tesla Model 3 car between 2017 and 2019.

MARK SCHEME ANSWER

Substitution into correct formula: $((\$50\,000 - \$35\,000) / \$50\,000) \times 100$ (1). Answer: 30% or -30% (1). Award full marks for correct numerical answer without working.

CASE STUDY EXTRACT

Tesla is a public limited company based in California, USA. Its founder and main shareholder, Elon Musk, wanted to produce an electric car that is affordable to a large number of potential customers. This car is called the Tesla Model 3 (Figure 3). Introduced in 2017, the basic version of the Model 3 was originally priced at \$50 000 and the company wanted to reduce this price to \$35 000 by 2019. However, this was difficult to achieve because Tesla's California factory suffered from low levels of productivity. These problems resulted in Tesla making a \$976 million loss in 2018. Following the introduction of tariffs on US imports by the Chinese government in 2018, Tesla decided to invest \$5 billion in the construction of a new car factory in Shanghai, China. This factory will use flow production. However, with only \$2.4 billion of available capital, Tesla needs to raise external finance to fund it. In 2019, Tesla decided to close most of its showrooms to reduce costs. The company believes customers will be happy to purchase electric cars using e-commerce. (Source: adapted from <https://www.telegraph.co.uk/technology/2019/02/28/tesla-launches-long-awaited-35000-car-closes-dealerships-move/> and <https://www.bloomberg.com/news/articles/2018-08-01/tesla-is-said-to-plan-5-billion-investment-in-chinese-factory>)

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Tesla is a public limited company based in California, USA. Its founder and main shareholder, Elon Musk, wanted to produce an electric car that is affordable to a large number of potential customers. This car is called the *Tesla* Model 3 (Figure 3).

Introduced in 2017, the basic version of the Model 3 was originally priced at \$50 000 and the company wanted to reduce this price to \$35 000 by 2019. However, this was difficult to achieve because *Tesla's* California factory suffered from low levels of productivity. These problems resulted in *Tesla* making a \$976 million loss in 2018.



(Source: Grzegorz Czapski/Shutterstock)

Figure 3: *Tesla* Model 3 electric car

Following the introduction of tariffs on US imports by the Chinese government in 2018, *Tesla* decided to invest \$5 billion in the construction of a new car factory in Shanghai, China. This factory will use flow production. However, with only \$2.4 billion of available capital, *Tesla* needs to raise external finance to fund it.

In 2019, *Tesla* decided to close most of its showrooms to reduce costs. The company believes customers will be happy to purchase electric cars using e-commerce.

(Source: adapted from <https://www.telegraph.co.uk/technology/2019/02/28/tesla-launches-long-awaited-35000-car-closes-dealerships-move/> and <https://www.bloomberg.com/news/articles/2018-08-01/tesla-is-said-to-plan-5-billion-investment-in-chinese-factory>)



- 5 Table 2 contains information about the price of a *Tesla* Model 3 car between 2017 and 2019.

Year	Price (in US\$)
2017	50 000
2018	41 000
2019	35 000

Table 2

- (a) Using the information in Table 2, calculate, the percentage reduction in the price of a *Tesla* Model 3 car between 2017 and 2019.

(2)

..... %

- (b) Using the information in Table 2, calculate the average price of a *Tesla* Model 3 car over the three year period between 2017 and 2019.

(2)

£



P 6 6 4 7 9 A 0 1 3 2 4

Using the information in Table 2, calculate the average price of a *Tesla* Model 3 car over the three year period between 2017 and 2019.

MARK SCHEME ANSWER

Substitution into correct formula: $(\$50\,000 + \$41\,000 + \$35\,000) / 3$ (1). Answer: \$42 000 (1). Award full marks for correct numerical answer without working.

DATA FOR QUESTION 2

Table 1 contains information about a new piece of machinery that a business wants to purchase. Average annual profit: £200,000; Cost of new machine: £200,000.

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Table 1 contains information about a new piece of machinery that a business wants to purchase.

Average annual profit	£200 000
Cost of new machine	£200 000

Table 1

(c) Using the information in Table 1, calculate the average rate of return.

(2)

..... %

(d) Explain **one** advantage to a business of having motivated employees.

(3)



Using the information in Table 1, calculate the average rate of return.

MARK SCHEME ANSWER

Substitution into correct formula: $(£200\,000 \div £200\,000) \times 100$ (1). Answer: 100% (1). Award full marks for correct numerical answer without working.

DATA FOR QUESTION 3

Figure 2 shows a business' sales revenue from each of its four locations in South Yorkshire in 2020.
Barnsley £10,000; Doncaster £70,000; Rotherham £30,000; Sheffield £90,000.

SOURCE PAGES FROM ORIGINAL PAPER

3 (a) Which **one** of the following is a stage in the sales process?

(1)

Select **one** answer.

- ☐ A Advertising
- ☐ B Customer engagement
- ☐ C Product quality
- ☐ D Use of different payment systems

Figure 2 shows a business' sales revenue from each of its four locations in South Yorkshire in 2020.

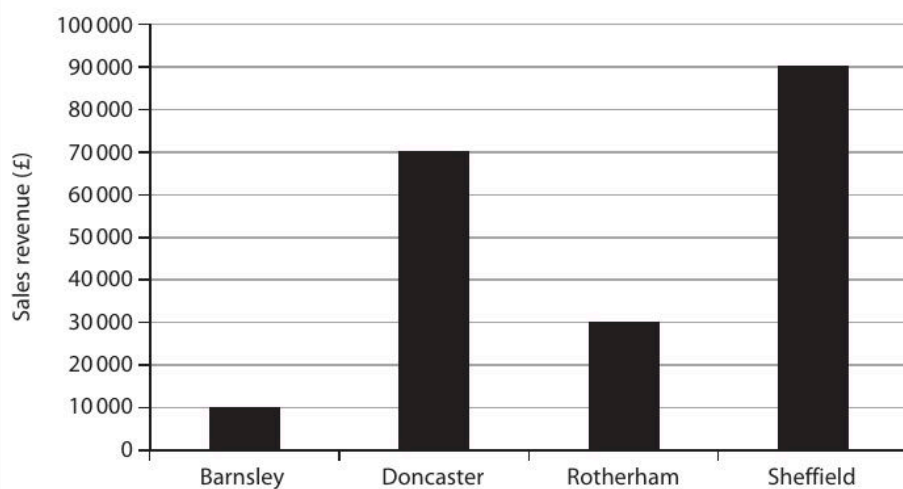


Figure 2

(b) Using the information in Figure 2, calculate the average sales revenue for this business in 2020. You are advised to show your workings.

(2)

£



Using the information in Figure 2, calculate the average sales revenue for this business in 2020. You are advised to show your workings.

MARK SCHEME ANSWER

Substitution into correct formula: $(£10\,000 + £70\,000 + £30\,000 + £90\,000) \div 4$ (1). Answer: £50 000 (1).
Award full marks for correct numerical answer without working.

CASE STUDY EXTRACT

Greggs plc is a company that produces baked goods such as sausage rolls, savoury snacks and cakes. It has more than 1,900 shops and a number of factories located across the UK. In 2018, Greggs planned to open a further 130 shops to cope with its continued growth in sales. It wanted to increase the use of technology in its factories, where it uses batch production. To be able to cope with this expansion, Greggs also planned to invest in improved logistics. The growth of Greggs has been a UK high street success story. From originally being based in Newcastle and the north-east, it has expanded rapidly across the whole of the UK. It has switched away from selling traditional bakery products, such as bread, to become more like a fast food chain. As a result, Greggs now sell a variety of takeaway goods such as pizza, soup, coffee and sandwiches and operates in the very competitive 'food-to-go' market. Its main rivals are Pret a Manger, Costa and Starbucks. Figure 3: Greggs' vegan sausage roll. In 2019, Greggs gained national publicity by becoming the first food retailer to start selling vegan sausage rolls. It is hoped that products such as this will help Greggs stand out from its rivals. The vegan sausage roll is priced at £1, 10p more than the meat-based equivalent. (Source: adapted from <https://www.foodmanufacture.co.uk/Article/2018/02/27/High-street-baker-posts-profits-growth> and <https://metro.co.uk/2019/01/03/actually-greggs-vegan-sausage-roll-8305542/>)

DATA FOR QUESTION 5

Table 2 contains information about Greggs' financial performance in 2018. Sales revenue: £1,029,347,000; Cost of sales: £373,487,000; Other operating expenses and interest: £573,292,000; Net profit: £82,568,000.

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SECTION B**Answer ALL questions.****Read the following extract before answering Questions 4, 5 and 6.****Write your answers in the spaces provided.**

Greggs plc is a company that produces baked goods such as sausage rolls, savoury snacks and cakes. It has more than 1,900 shops and a number of factories located across the UK.

In 2018, *Greggs* planned to open a further 130 shops to cope with its continued growth in sales. It wanted to increase the use of technology in its factories, where it uses batch production. To be able to cope with this expansion, *Greggs* also planned to invest in improved logistics.

The growth of *Greggs* has been a UK high street success story. From originally being based in Newcastle and the north-east, it has expanded rapidly across the whole of the UK. It has switched away from selling traditional bakery products, such as bread, to become more like a fast food chain. As a result, *Greggs* now sell a variety of takeaway goods such as pizza, soup, coffee and sandwiches and operates in the very competitive 'food-to-go' market. Its main rivals are Pret a Manger, Costa and Starbucks.



(Source: abimages/Shutterstock)

Figure 3: *Greggs*' vegan sausage roll

In 2019, *Greggs* gained national publicity by becoming the first food retailer to start selling vegan sausage rolls. It is hoped that products such as this will help *Greggs* stand out from its rivals. The vegan sausage roll is priced at £1, 10p more than the meat-based equivalent.

(Source: adapted from <https://www.foodmanufacture.co.uk/Article/2018/02/27/High-street-baker-posts-profits-growth> and <https://metro.co.uk/2019/01/03/actually-greggs-vegan-sausage-roll-8305542/>)



- 5 Table 2 contains information about *Greggs'* financial performance in 2018.

	£ (000)
Sales revenue	1 029 347
Cost of sales	373 487
Other operating expenses and interest	573 292
Net profit	82 568

Table 2

- (a) Using the information in Table 2, calculate *Greggs'* gross profit.

(2)

£

- (b) Using the information in Table 2, calculate to 2 decimal places, *Greggs'* net profit margin.

(2)

.....%



Using the information in Table 2, calculate *Greggs'* gross profit.

MARK SCHEME ANSWER

Substitution into correct formula: £1 029 347 000 - £373 487 000 (1). Answer: £655 860 000 (1). Accept any answers and workings that do not include 000. Award full marks for correct numerical answer without working.

CASE STUDY EXTRACT

Greggs plc is a company that produces baked goods such as sausage rolls, savoury snacks and cakes. It has more than 1,900 shops and a number of factories located across the UK. In 2018, Greggs planned to open a further 130 shops to cope with its continued growth in sales. It wanted to increase the use of technology in its factories, where it uses batch production. To be able to cope with this expansion, Greggs also planned to invest in improved logistics. The growth of Greggs has been a UK high street success story. From originally being based in Newcastle and the north-east, it has expanded rapidly across the whole of the UK. It has switched away from selling traditional bakery products, such as bread, to become more like a fast food chain. As a result, Greggs now sell a variety of takeaway goods such as pizza, soup, coffee and sandwiches and operates in the very competitive 'food-to-go' market. Its main rivals are Pret a Manger, Costa and Starbucks. Figure 3: Greggs' vegan sausage roll. In 2019, Greggs gained national publicity by becoming the first food retailer to start selling vegan sausage rolls. It is hoped that products such as this will help Greggs stand out from its rivals. The vegan sausage roll is priced at £1, 10p more than the meat-based equivalent. (Source: adapted from <https://www.foodmanufacture.co.uk/Article/2018/02/27/High-street-baker-posts-profits-growth> and <https://metro.co.uk/2019/01/03/actually-greggs-vegan-sausage-roll-8305542/>)

DATA FOR QUESTION 5

Table 2 contains information about Greggs' financial performance in 2018. Sales revenue: £1,029,347,000; Cost of sales: £373,487,000; Other operating expenses and interest: £573,292,000; Net profit: £82,568,000.

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SECTION B**Answer ALL questions.****Read the following extract before answering Questions 4, 5 and 6.****Write your answers in the spaces provided.**

Greggs plc is a company that produces baked goods such as sausage rolls, savoury snacks and cakes. It has more than 1,900 shops and a number of factories located across the UK.

In 2018, *Greggs* planned to open a further 130 shops to cope with its continued growth in sales. It wanted to increase the use of technology in its factories, where it uses batch production. To be able to cope with this expansion, *Greggs* also planned to invest in improved logistics.

The growth of *Greggs* has been a UK high street success story. From originally being based in Newcastle and the north-east, it has expanded rapidly across the whole of the UK. It has switched away from selling traditional bakery products, such as bread, to become more like a fast food chain. As a result, *Greggs* now sell a variety of takeaway goods such as pizza, soup, coffee and sandwiches and operates in the very competitive 'food-to-go' market. Its main rivals are Pret a Manger, Costa and Starbucks.



(Source: abimages/Shutterstock)

Figure 3: *Greggs*' vegan sausage roll

In 2019, *Greggs* gained national publicity by becoming the first food retailer to start selling vegan sausage rolls. It is hoped that products such as this will help *Greggs* stand out from its rivals. The vegan sausage roll is priced at £1, 10p more than the meat-based equivalent.

(Source: adapted from <https://www.foodmanufacture.co.uk/Article/2018/02/27/High-street-baker-posts-profits-growth> and <https://metro.co.uk/2019/01/03/actually-greggs-vegan-sausage-roll-8305542/>)

**11****Turn over ►**

- 5 Table 2 contains information about *Greggs'* financial performance in 2018.

	£ (000)
Sales revenue	1 029 347
Cost of sales	373 487
Other operating expenses and interest	573 292
Net profit	82 568

Table 2

- (a) Using the information in Table 2, calculate *Greggs'* gross profit.

(2)

£

- (b) Using the information in Table 2, calculate to 2 decimal places, *Greggs'* net profit margin.

(2)

.....%



Using the information in Table 2, calculate to 2 decimal places, *Greggs'* net profit margin.

MARK SCHEME ANSWER

Substitution into correct formula: $(£82\,568\,000 \div £1\,029\,347\,000) \times 100$ (1). Answer: 8.02% (1). Award full marks for correct numerical answer without working.

DATA FOR QUESTION 2

Table 1 contains financial information about a business. Sales revenue: £900 000; Cost of sales: £325 000; Other operating expenses and interest: £175 000; Net profit: £400 000.

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Table 1 contains financial information about a business.

	£
Sales revenue	900 000
Cost of sales	325 000
Other operating expenses and interest	175 000
Net profit	400 000

Table 1

- (c) Using the information in Table 1, calculate to 2 decimal places, the net profit margin.

(2)

.....%

- (d) Explain **one** disadvantage to a business of using loan capital as a source of finance.

(3)



P 7 1 0 6 0 A 0 5 2 4

5

Turn over ►

Using the information in Table 1, calculate to 2 decimal places, the net profit margin.

MARK SCHEME ANSWER

Substitution into correct formula: $(£400\,000 \div £900\,000) \times 100$ (1). Answer: 44.44% (1). Award full marks for correct numerical answer without working.

CASE STUDY EXTRACT

Extract A: Ocado plc is an online grocery retailer that does not own physical shops. Ocado purchases its groceries from food manufacturers such as Heinz or from other grocery retailers such as Marks & Spencer. It then sells these groceries through the Ocado website or through its app. Groceries are then delivered to each customer's home. The company already has a 62% 'excellent' rating on Trustpilot for its customer service. This is higher than other supermarkets, such as Asda, that also offer online grocery shopping. Ocado is considering introducing a one-hour, same day delivery service. In 2020, Ocado's sales rose by more than 40% as demand for online grocery shopping increased. Ocado has invested in new technology in its warehouses. This has allowed Ocado to use a just in time (JIT) stock management system. As part of this investment, Ocado's robots now can pick a customer's order in less than 5 minutes. The robots have artificial intelligence and know that they should place heavy items such as milk at the bottom of a bag. This level of automation allowed Ocado to process an extra 30,000 orders each week during 2020. In order to increase its share of the grocery market, Ocado is considering expanding its range of 'own label' products to improve its offer to customers.

DATA FOR QUESTION 5

Table 2 contains information about the price of an annual supermarket delivery pass in 2020. Asda: £55; Morrisons: £65; Ocado: £110; Sainsbury's: £60.

SOURCE PAGES FROM ORIGINAL PAPER

- 5 Table 2 contains information about the price of an annual supermarket delivery pass in 2020.

	£
Asda	55
Morrisons	65
Ocado	110
Sainsbury's	60

Table 2

(Source: adapted from <https://www.lovemoney.com/guides/3444/cheapest-supermarket-online-delivery-deals-asda-tesco-iceland-cost>)

- (a) Using the information in Table 2, calculate the average price of an annual supermarket delivery pass.

(2)

£



SECTION B

Look at Figure 3 and read Extract A, then answer Questions 4, 5 and 6.

Extract A



Figure 3: An Ocado 'own label' product

Ocado plc is an online grocery retailer that does not own physical shops. Ocado purchases its groceries from food manufacturers such as Heinz or from other grocery retailers such as Marks & Spencer. It then sells these groceries through the Ocado website or through its app. Groceries are then delivered to each customer's home. The company already has a 62% 'excellent' rating on Trustpilot for its customer service. This is higher than other supermarkets, such as Asda, that also offer online grocery shopping. Ocado is considering introducing a one-hour, same day delivery service.

In 2020, Ocado's sales rose by more than 40% as demand for online grocery shopping increased. Ocado has invested in new technology in its warehouses. This has allowed Ocado to use a just in time (JIT) stock management system. As part of this investment, Ocado's robots now can pick a customer's order in less than 5 minutes. The robots have artificial intelligence and know that they should place heavy items such as milk at the bottom of a bag. This level of automation allowed Ocado to process an extra 30,000 orders each week during 2020.

In order to increase its share of the grocery market, Ocado is considering expanding its range of 'own label' products to improve its offer to customers.

(Source: adapted from <https://www.theverge.com/2018/5/8/17331250/automated-warehouses-jobs-ocado-andover-amazon> and <https://www.independent.co.uk/news/business/news/coronavirus-ocado-sales-rise-latest-online-grocery-shopping-covid-19-a9500966.html>)



Using the information in Table 2, calculate the average price of an annual supermarket delivery pass.

MARK SCHEME ANSWER

Substitution into correct formula: $(£55 + £65 + £110 + £60) \div 4$ (1). Answer: £72.50 (1). Award full marks for correct numerical answer without working.

CASE STUDY EXTRACT

Extract A: Ocado plc is an online grocery retailer that does not own physical shops. Ocado purchases its groceries from food manufacturers such as Heinz or from other grocery retailers such as Marks & Spencer. It then sells these groceries through the Ocado website or through its app. Groceries are then delivered to each customer's home. The company already has a 62% 'excellent' rating on Trustpilot for its customer service. This is higher than other supermarkets, such as Asda, that also offer online grocery shopping. Ocado is considering introducing a one-hour, same day delivery service. In 2020, Ocado's sales rose by more than 40% as demand for online grocery shopping increased. Ocado has invested in new technology in its warehouses. This has allowed Ocado to use a just in time (JIT) stock management system. As part of this investment, Ocado's robots now can pick a customer's order in less than 5 minutes. The robots have artificial intelligence and know that they should place heavy items such as milk at the bottom of a bag. This level of automation allowed Ocado to process an extra 30,000 orders each week during 2020. In order to increase its share of the grocery market, Ocado is considering expanding its range of 'own label' products to improve its offer to customers.

DATA FOR QUESTION 5

Table 2 contains information about the price of an annual supermarket delivery pass in 2020. Asda: £55; Morrisons: £65; Ocado: £110; Sainsbury's: £60.

ADDITIONAL INFORMATION

Table 3 contains information about Ocado's financial performance in 2019. Cost of sales: £1 164.8 million; Gross profit: £591.8 million; Other operating expenses and interest: £916.9 million; Net profit: (£325.1 million).

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Table 3 contains information about *Ocado's* financial performance in 2019.

	£ million
Cost of sales	1 164.8
Gross profit	591.8
Other operating expenses and interest	916.9
Net profit	(325.1)

Table 3

(Source: adapted from <https://www.ocadogroup.com/investors/annual-report-2019>)

- (b) Using the information in Table 3, calculate *Ocado's* sales revenue in 2019.
You are advised to show your workings.

(2)

£ million



SECTION B

Look at Figure 3 and read Extract A, then answer Questions 4, 5 and 6.

Extract A



Figure 3: An Ocado 'own label' product

Ocado plc is an online grocery retailer that does not own physical shops. Ocado purchases its groceries from food manufacturers such as Heinz or from other grocery retailers such as Marks & Spencer. It then sells these groceries through the Ocado website or through its app. Groceries are then delivered to each customer's home. The company already has a 62% 'excellent' rating on Trustpilot for its customer service. This is higher than other supermarkets, such as Asda, that also offer online grocery shopping. Ocado is considering introducing a one-hour, same day delivery service.

In 2020, Ocado's sales rose by more than 40% as demand for online grocery shopping increased. Ocado has invested in new technology in its warehouses. This has allowed Ocado to use a just in time (JIT) stock management system. As part of this investment, Ocado's robots now can pick a customer's order in less than 5 minutes. The robots have artificial intelligence and know that they should place heavy items such as milk at the bottom of a bag. This level of automation allowed Ocado to process an extra 30,000 orders each week during 2020.

In order to increase its share of the grocery market, Ocado is considering expanding its range of 'own label' products to improve its offer to customers.

(Source: adapted from <https://www.theverge.com/2018/5/8/17331250/automated-warehouses-jobs-ocado-andover-amazon> and <https://www.independent.co.uk/news/business/news/coronavirus-ocado-sales-rise-latest-online-grocery-shopping-covid-19-a9500966.html>)



Using the information in Table 3, calculate Ocado's sales revenue in 2019. You are advised to show your workings.

MARK SCHEME ANSWER

Substitution into correct formula: £1 164.8m + £591.8m (1). Answer: £1 756.6 million (1). Award full marks for correct numerical answer without working.

CASE STUDY EXTRACT

Popeyes is an American fried chicken fast-food chain. It is well known for its Louisiana style fried chicken that is marinated overnight in a mix of spices. As well as traditional chicken sandwiches and chicken wings, Popeyes has unusual items on its menu such as American style biscuits and Cajun gravy. The success of its restaurants has surprised the company. To meet the high level of demand for its fried chicken, Popeyes had to redesign the layout of its kitchens and serving areas and re-train employees. Since opening in 2021, its Stratford restaurant in London has become Popeyes' best performing outlet in the world, often with queues of between 50 to 100 people waiting outside. However, Popeyes is not the only American fast-food chain that has found the UK attractive. Wendy's, Shake Shack and Wingstop have all entered the UK market since 2018. Together with established chains, such as KFC and Burger King, this has made the UK fast-food market highly competitive. This has created problems for restaurant managers since they are struggling to find enough trained employees in places such as London and Birmingham. Skilled chefs and kitchen staff are in high demand, which has led to higher wage rates.

DATA FOR QUESTION 5

Table 2 shows the price of items in an order placed by a customer at Popeyes. Chicken sandwich: £6.50; Chicken wings: £6.25; Original biscuit: £1.00; Mac and cheese: £3.50; Coca-Cola classic: £2.75.

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- 5 Table 2 shows the price of items in an order placed by a customer at *Popeyes*.

Item	Price (£)
Chicken sandwich	6.50
Chicken wings	6.25
Original biscuit	1.00
Mac and cheese	3.50
Coca-Cola classic	2.75

Table 2

- (a) Using the information in Table 2, calculate the average price of the items ordered by the customer.

(2)

£

- (b) Using the information in Table 2, calculate, to 2 decimal places, the percentage of the total order spent on Chicken wings.

(2)

.....%



P 7 5 5 2 6 A 0 1 1 2 4

SECTION B

Look at Figure 2 and read Extract A, then answer Questions 4, 5 and 6.

Extract A

Popeyes is an American fried chicken fast-food chain. It is well known for its Louisiana style fried chicken that is marinated overnight in a mix of spices. As well as traditional chicken sandwiches and chicken wings, *Popeyes* has unusual items on its menu such as American style biscuits and Cajun gravy. The success of its restaurants has surprised the company. To meet the high level of demand for its fried chicken, *Popeyes* had to redesign the layout of its kitchens and serving areas and re-train employees. Since opening in 2021, its Stratford restaurant in London has become *Popeyes*' best performing outlet in the world, often with queues of between 50 to 100 people waiting outside.



(Source: © Nigel J. Harris/Shutterstock)

Figure 2

However, *Popeyes* is not the only American fast-food chain that has found the UK attractive. Wendy's, Shake Shack and Wingstop have all entered the UK market since 2018. Together with established chains, such as KFC and Burger King, this has made the UK fast-food market highly competitive. This has created problems for restaurant managers since they are struggling to find enough trained employees in places such as London and Birmingham. Skilled chefs and kitchen staff are in high demand, which has led to higher wage rates.

(Source: adapted from © Telegraph Media Group Limited 2022 / 2023)



Using the information in Table 2, calculate the average price of the items ordered by the customer.

MARK SCHEME ANSWER

Substitution into correct formula: $(£6.50 + £6.25 + £1.00 + £3.50 + £2.75) \div 5$ (1). Answer: £4 (1). Award full marks for correct numerical answer without working.

CASE STUDY EXTRACT

Popeyes is an American fried chicken fast-food chain. It is well known for its Louisiana style fried chicken that is marinated overnight in a mix of spices. As well as traditional chicken sandwiches and chicken wings, Popeyes has unusual items on its menu such as American style biscuits and Cajun gravy. The success of its restaurants has surprised the company. To meet the high level of demand for its fried chicken, Popeyes had to redesign the layout of its kitchens and serving areas and re-train employees. Since opening in 2021, its Stratford restaurant in London has become Popeyes' best performing outlet in the world, often with queues of between 50 to 100 people waiting outside. However, Popeyes is not the only American fast-food chain that has found the UK attractive. Wendy's, Shake Shack and Wingstop have all entered the UK market since 2018. Together with established chains, such as KFC and Burger King, this has made the UK fast-food market highly competitive. This has created problems for restaurant managers since they are struggling to find enough trained employees in places such as London and Birmingham. Skilled chefs and kitchen staff are in high demand, which has led to higher wage rates.

DATA FOR QUESTION 5

Table 2 shows the price of items in an order placed by a customer at Popeyes. Chicken sandwich: £6.50; Chicken wings: £6.25; Original biscuit: £1.00; Mac and cheese: £3.50; Coca-Cola classic: £2.75.

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- 5 Table 2 shows the price of items in an order placed by a customer at *Popeyes*.

Item	Price (£)
Chicken sandwich	6.50
Chicken wings	6.25
Original biscuit	1.00
Mac and cheese	3.50
Coca-Cola classic	2.75

Table 2

- (a) Using the information in Table 2, calculate the average price of the items ordered by the customer.

(2)

£

- (b) Using the information in Table 2, calculate, to 2 decimal places, the percentage of the total order spent on Chicken wings.

(2)

.....%



P 7 5 5 2 6 A 0 1 1 2 4

SECTION B

Look at Figure 2 and read Extract A, then answer Questions 4, 5 and 6.

Extract A

Popeyes is an American fried chicken fast-food chain. It is well known for its Louisiana style fried chicken that is marinated overnight in a mix of spices. As well as traditional chicken sandwiches and chicken wings, *Popeyes* has unusual items on its menu such as American style biscuits and Cajun gravy. The success of its restaurants has surprised the company. To meet the high level of demand for its fried chicken, *Popeyes* had to redesign the layout of its kitchens and serving areas and re-train employees. Since opening in 2021, its Stratford restaurant in London has become *Popeyes*' best performing outlet in the world, often with queues of between 50 to 100 people waiting outside.



(Source: © Nigel J. Harris/Shutterstock)

Figure 2

However, *Popeyes* is not the only American fast-food chain that has found the UK attractive. Wendy's, Shake Shack and Wingstop have all entered the UK market since 2018. Together with established chains, such as KFC and Burger King, this has made the UK fast-food market highly competitive. This has created problems for restaurant managers since they are struggling to find enough trained employees in places such as London and Birmingham. Skilled chefs and kitchen staff are in high demand, which has led to higher wage rates.

(Source: adapted from © Telegraph Media Group Limited 2022 / 2023)

Using the information in Table 2, calculate, to 2 decimal places, the percentage of the total order spent on Chicken wings.

MARK SCHEME ANSWER

Substitution into correct formula: $\pounds 6.25 \div (\pounds 6.50 + \pounds 6.25 + \pounds 1.00 + \pounds 3.50 + \pounds 2.75) \times 100$ (1). Answer: 31.25% (1). Award full marks for correct numerical answer without working.

2.4.2 Understanding business performance (7 questions)

June 2019 · Paper 2 · Q2(c) · §A

Calculate

2 marks

DATA FOR QUESTION 2

Table 1 contains information about a new piece of machinery that a business wants to purchase. Average annual profit: £100 000; Cost of new machine: £400 000.

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Table 1 contains information about a new piece of machinery that a business wants to purchase.

Average annual profit	£100 000
Cost of new machine	£400 000

Table 1

- (c) Using the information in Table 1, calculate the average rate of return. You are advised to show your workings.

(2)

..... %

- (d) Explain **one** benefit to a business of having a good relationship with its suppliers.

(3)



P 5 9 9 2 6 A 0 5 2 4

5

Turn over ►



Using the information in Table 1, calculate the average rate of return. You are advised to show your workings.

MARK SCHEME ANSWER

Substitution into correct formula: $(£100\,000 / £400\,000) \times 100$ (1). Answer: 25% (1). Award full marks for correct numerical answer without working.

CASE STUDY EXTRACT

Mind Candy Ltd produces games and apps for computers and mobile devices. Its most successful game was Moshi Monsters. The game was aimed at young teenagers and was a global hit, with 80 million users in 2012. In 2013, Mind Candy made large losses as sales revenue fell due to the falling popularity of its games. This was blamed on the short product life cycle of Moshi Monsters and increased competition in its market. As a result of these losses, Mind Candy reduced its workforce of software developers. Mind Candy now needed to raise £1.2 million of extra finance. It required this finance to pay existing costs and fund the development of new apps such as Petlandia. Mind Candy believes Petlandia will allow it to return to organic growth. The app is free to download and allows players to design a virtual version of their own pet. This virtual pet can go on an adventure within the app. The adventure is then turned into a personalised storybook which can be purchased for £19.99.

DATA FOR QUESTION 5

Mind Candy case study. Table 2 contains information about Mind Candy's performance in 2013. Sales revenue: £30 560 692; Gross profit: £22 190 385; Other operating expenses and interest: £25 044 332.

ADDITIONAL INFORMATION

Mind Candy case study (Table 2 financial info).

SOURCE PAGES FROM ORIGINAL PAPER

SECTION B

Answer ALL questions.

Read the following extract before answering Questions 4, 5 and 6.

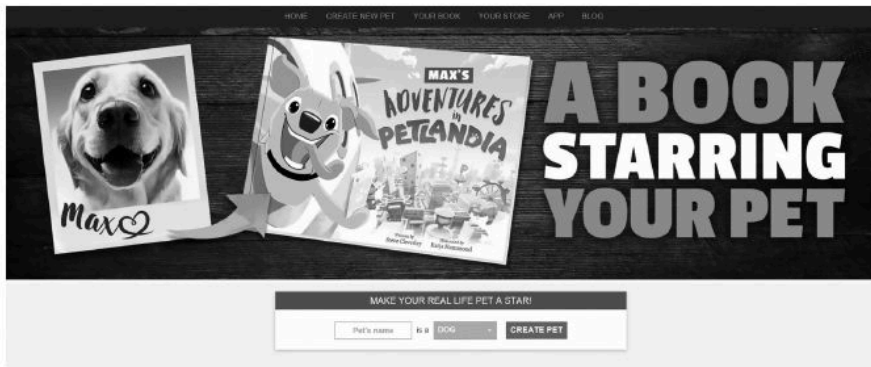
Write your answers in the spaces provided.



© Mind Candy

Mind Candy Ltd produces games and apps for computers and mobile devices. Its most successful game was Moshi Monsters. The game was aimed at young teenagers and was a global hit, with 80 million users in 2012.

In 2013, Mind Candy made large losses as sales revenue fell due to the falling popularity of its games. This was blamed on the short product life cycle of Moshi Monsters and increased competition in its market. As a result of these losses, Mind Candy reduced its workforce of software developers.



(Source from: <https://www.petlandia.com/custom-book.html#create>)

Mind Candy now needed to raise £1.2 million of extra finance. It required this finance to pay existing costs and fund the development of new apps such as Petlandia. Mind Candy believes Petlandia will allow it to return to organic growth. The app is free to download and allows players to design a virtual version of their own pet. This virtual pet can go on an adventure within the app. The adventure is then turned into a personalised storybook which can be purchased for £19.99.

(Source from: 'Moshi Monsters maker Mind Candy fears administration as sales tumble further' by Christopher Williams, 11 OCTOBER 2016 © Telegraph Media Group Limited)



5 Table 2 contains information about *Mind Candy's* performance in 2013.

Sales revenue	£30 560 692
Gross profit	£22 190 385
Other operating expenses and interest	£25 044 332

(Source: adapted from <https://beta.companieshouse.gov.uk/company/05119483/filing-history>)

Table 2

- (a) Using the information in Table 2, calculate *Mind Candy's* cost of sales. You are advised to show your workings.

(2)

£

- (b) Using the information in Table 2, calculate, to 2 decimal places, *Mind Candy's* gross profit margin. You are advised to show your workings.

(2)

..... %



P 5 9 9 2 6 A 0 1 3 2 4

Using the information in Table 2, calculate, to 2 decimal places, *Mind Candy's* gross profit margin. You are advised to show your workings.

MARK SCHEME ANSWER

Substitution into correct formula: $(£22\,190\,385 / £30\,560\,692) \times 100$ (1). Answer: 72.61% (1). Award full marks for correct numerical answer without working.

CASE STUDY EXTRACT

Iceland is a supermarket that sells frozen food. Although the grocery industry is very competitive, Iceland enjoyed a successful 2017. Sales revenue increased by 2.0% allowing profits to increase by £9.5 million to £160 million. Iceland believes this success has been due to improved marketing. It has introduced new products using the Slimming World and Millie's Cookies brand names. It also launched a new advertising campaign called 'The Power of Frozen'. In addition it has developed a new store format called 'The Food Warehouse'. These stores are much larger than a normal Iceland store which allows them to stock more luxury products. Iceland hopes that The Food Warehouse will help it to appeal to high-income customers and it plans to open more stores. In 2018, Iceland received positive publicity from its decision to ban all plastic packaging on its own-brand products by 2023. It intends to replace plastic with recycled paper, as shown in Figure 3. A survey of 5,000 of its customers showed that 80% of them agreed with the change. Pressure groups, such as Friends of the Earth, have welcomed Iceland's decision. Plastic waste has caused pollution of the world's oceans and has killed marine life. Pressure groups hope that Iceland's decision will be repeated by other supermarkets in the UK. (Source: adapted from <https://www.theguardian.com/business/2018/jan/15/iceland-vows-to-eliminate-plastic-on-all-own-branded-products> and <http://about.iceland.co.uk/wp-content/uploads/2017/12/Iceland-Topco-Ltd-2017-results.pdf>)

DATA FOR QUESTION 7

Figure 4 shows information about the change in Iceland's sales revenue between 2013 and 2017.
Percentage change in sales revenue: 2013: 1.1; 2014: 2.7; 2015: -4.4; 2016: -2.7; 2017: 2.0.

SOURCE PAGES FROM ORIGINAL PAPER

SECTION C

Answer ALL questions.

Read the following extract carefully and then answer Question 7.

Write your answers in the spaces provided.

Iceland is a supermarket that sells frozen food. Although the grocery industry is very competitive, *Iceland* enjoyed a successful 2017. Sales revenue increased by 2.0% allowing profits to increase by £9.5 million to £160 million.

Iceland believes this success has been due to improved marketing. It has introduced new products using the Slimming World and Millie's Cookies brand names. It also launched a new advertising campaign called 'The Power of Frozen'. In addition it has developed a new store format called 'The Food Warehouse'. These stores are much larger than a normal *Iceland* store which allows them to stock more luxury products. *Iceland* hopes that The Food Warehouse will help it to appeal to high-income customers and it plans to open more stores.



© Dom J/Shutterstock

In 2018, *Iceland* received positive publicity from its decision to ban all plastic packaging on its own-brand products by 2023. It intends to replace plastic with recycled paper, as shown in Figure 3. A survey of 5,000 of its customers showed that 80% of them agreed with the change. Pressure groups, such as Friends of the Earth, have welcomed *Iceland's* decision. Plastic waste has caused pollution of the world's oceans and has killed marine life. Pressure groups hope that *Iceland's* decision will be repeated by other supermarkets in the UK.



Figure 3: *Iceland's* new packaging

(Source: adapted from <https://www.theguardian.com/business/2018/jan/15/iceland-vows-to-eliminate-plastic-on-all-own-branded-products> and <http://about.iceland.co.uk/wp-content/uploads/2017/12/Iceland-Topco-Ltd-2017-results.pdf>)

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7 (a) Define the term **pressure group**.

(1)

Figure 4 shows information about the change in *Iceland's* sales revenue between 2013 and 2017.

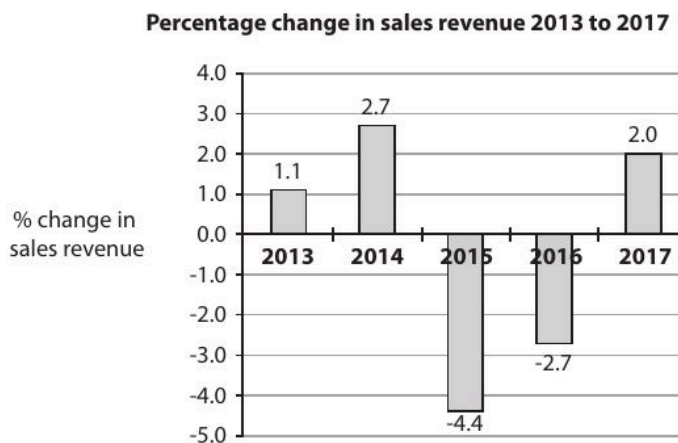


Figure 4

(Source: <http://about.iceland.co.uk/wp-content/uploads/2017/12/Iceland-Topco-Ltd-2017-results.pdf>)

(b) Using the information in Figure 4, identify the year with the smallest percentage change in *Iceland's* sales revenue.

(1)



P 6 1 6 4 7 A 0 1 9 2 4

Using the information in Figure 4, identify the year with the smallest percentage change in *Iceland's* sales revenue.

MARK SCHEME ANSWER

2013

CASE STUDY EXTRACT

Tesla is a public limited company based in California, USA. Its founder and main shareholder, Elon Musk, wanted to produce an electric car that is affordable to a large number of potential customers. This car is called the Tesla Model 3 (Figure 3). Introduced in 2017, the basic version of the Model 3 was originally priced at \$50 000 and the company wanted to reduce this price to \$35 000 by 2019. However, this was difficult to achieve because Tesla's California factory suffered from low levels of productivity. These problems resulted in Tesla making a \$976 million loss in 2018. Following the introduction of tariffs on US imports by the Chinese government in 2018, Tesla decided to invest \$5 billion in the construction of a new car factory in Shanghai, China. This factory will use flow production. However, with only \$2.4 billion of available capital, Tesla needs to raise external finance to fund it. In 2019, Tesla decided to close most of its showrooms to reduce costs. The company believes customers will be happy to purchase electric cars using e-commerce. (Source: adapted from <https://www.telegraph.co.uk/technology/2019/02/28/tesla-launches-long-awaited-35000-car-closes-dealerships-move/> and <https://www.bloomberg.com/news/articles/2018-08-01/tesla-is-said-to-plan-5-billion-investment-in-chinese-factory>)

DATA FOR QUESTION 6

In order to raise the finance for its new Chinese factory, Tesla is considering two options: Option 1: share capital. Option 2: loan capital.

SOURCE PAGES FROM ORIGINAL PAPER

SECTION B

Answer ALL questions.

Read the following extract before answering Questions 4, 5 and 6.

Write your answers in the spaces provided.

Tesla is a public limited company based in California, USA. Its founder and main shareholder, Elon Musk, wanted to produce an electric car that is affordable to a large number of potential customers. This car is called the *Tesla* Model 3 (Figure 3).

Introduced in 2017, the basic version of the Model 3 was originally priced at \$50 000 and the company wanted to reduce this price to \$35 000 by 2019. However, this was difficult to achieve because *Tesla*'s California factory suffered from low levels of productivity. These problems resulted in *Tesla* making a \$976 million loss in 2018.



(Source: Grzegorz Czapski/Shutterstock)

Figure 3: *Tesla* Model 3 electric car

Following the introduction of tariffs on US imports by the Chinese government in 2018, *Tesla* decided to invest \$5 billion in the construction of a new car factory in Shanghai, China. This factory will use flow production. However, with only \$2.4 billion of available capital, *Tesla* needs to raise external finance to fund it.

In 2019, *Tesla* decided to close most of its showrooms to reduce costs. The company believes customers will be happy to purchase electric cars using e-commerce.

(Source: adapted from <https://www.telegraph.co.uk/technology/2019/02/28/tesla-launches-long-awaited-35000-car-closes-dealerships-move/> and <https://www.bloomberg.com/news/articles/2018-08-01/tesla-is-said-to-plan-5-billion-investment-in-chinese-factory>)





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6 (a) State **one** impact to *Tesla* of continuing to make a loss.

(1)

(b) Outline **one** drawback to *Tesla* of a government introducing tariffs on imports from the US.

(2)



P 6 6 4 7 9 A 0 1 5 2 4

15

Turn over ►



State one impact to Tesla of continuing to make a loss.

MARK SCHEME ANSWER

Award 1 mark for stating one impact to Tesla if it continues to make a loss.

It will not be able to build the new factory in Shanghai (1).

Its net cash flow will fall below \$2.4 billion (1).

It may not be able to reduce the price of a car to \$35 000 (1).

Accept any other appropriate response. Do not accept impacts that are not in the context of Tesla. For example, making staff redundant.

CASE STUDY EXTRACT

ASOS plc is an online fashion retailer which targets customers in their 20s. The company started in 2000 and since then it has grown significantly. One of the main reasons for its growth is what Chief Executive Nick Beighton calls, the 'ASOS Experience'. The company focuses on high quality logistics to distribute its products and increased use of warehouse technology. This has resulted in a warehouse and distribution system which is almost fully automated (Figure 4). This allows ASOS to deliver customer orders the next day, so long as the order is placed online before midnight. Automation has also given ASOS the ability to increase the range of clothes it can sell on its website. Figure 5: ASOS's Instagram bio - 7,091 posts, 7.1m followers, 740 following. ASOS Tag your looks #AsSeenOnMe to get featured. See more from us here >>>: @ASOS_Looped: @ASOS_FaceandBody: ASOSfashion. asos.com. However, the market for clothes in the UK is becoming increasingly competitive. Despite a significant growth in sales, ASOS's profits have fallen. This has caused the company's share price to fall. ASOS has responded by focusing on viral advertising. Its latest campaign is to get customers to use the hashtag #AsSeenOnMe (Figure 5) when they are showing off their latest ASOS outfit on social media. In return, ASOS gives customers the opportunity to be featured on the ASOS Instagram feed which has 7.1 million followers. (Source: adapted from <https://jilt.com/upsell/asos-shipping-logistics/> and <https://sproutsocial.com/insights/social-media-marketing-examples/>)

DATA FOR QUESTION 7

Figure 6 shows the ASOS share price over time, with the y-axis showing share price in pence (1000-8000) and the x-axis showing time from January 2015 to January 2019. The share price rose from around 2000 pence in early 2015 to a peak of around 7500 pence in early 2018, before falling.

SOURCE PAGES FROM ORIGINAL PAPER

SECTION C

Answer ALL questions.

Read the following extract carefully and then answer Question 7.

Write your answers in the spaces provided.



(Source: Dmitry Kalinovsky/Shutterstock)

Figure 4: Automation at an ASOS warehouse

customer orders the next day, so long as the order is placed online before midnight. Automation has also given ASOS the ability to increase the range of clothes it can sell on its website.

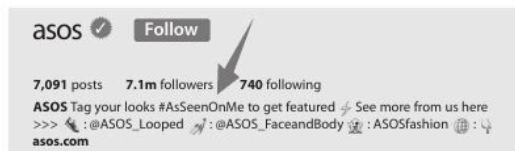


Figure 5: ASOS's Instagram bio

However, the market for clothes in the UK is becoming increasingly competitive. Despite a significant growth in sales, ASOS's profits have fallen. This has caused the company's share price to fall. ASOS has responded by focusing on viral advertising. Its latest campaign is to get customers to use the hashtag #AsSeenOnMe (Figure 5) when they are showing off their latest ASOS outfit on social media. In return, ASOS gives customers the opportunity to be featured on the ASOS Instagram feed which has 7.1 million followers.

(Source: adapted from <https://jilt.com/upsell/asos-shipping-logistics/> and <https://sproutsocial.com/insights/social-media-marketing-examples/>)



7 (a) Give **one** element of the marketing mix.

(1)

Figure 6 shows the ASOS share price over time.

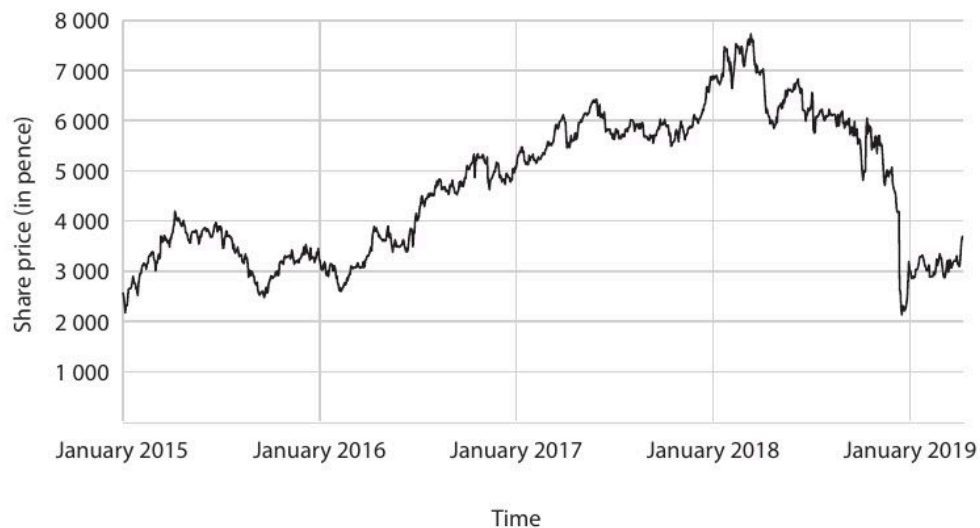


Figure 6

(Source: adapted from <https://www.asosplc.com/investors/share-price/share-price-chart>)

(b) Using the information in Figure 6, identify the year when the ASOS share price was higher than £70.

(1)



P 6 6 4 7 9 A 0 1 9 2 4

Using the information in Figure 6, identify the year when the ASOS share price was higher than £70.

MARK SCHEME ANSWER

2018

DATA FOR QUESTION 2

Table 1 contains information about a machine that a business is considering purchasing. Total profit from the machine: £500 000; Length of time the business will own the machine: 5 years; Cost of the machine: £200 000.

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- 2 (a) Which **two** of the following documents would be sent to a business by a person when applying for a job?

(2)

Select **two** answers.

- ☐ A Application form
- ☐ B Curriculum vitae (CV)
- ☐ C Job description
- ☐ D Performance review
- ☐ E Person specification

- (b) Which **two** of the following are stages in the sales process?

(2)

Select **two** answers.

- ☐ A Customer engagement
- ☐ B Longer opening hours
- ☐ C Market data
- ☐ D Product knowledge
- ☐ E Product promotion

Table 1 contains information about a machine that a business is considering purchasing.

Total profit from the machine	£500 000
Length of time the business will own the machine	5 years
Cost of the machine	£200 000

Table 1

- (c) Using the information in Table 1, calculate the average rate of return for the machine.

(2)

.....%



Using the information in Table 1, calculate the average rate of return for the machine.

MARK SCHEME ANSWER

Substitution into correct formula: $(£500\,000 \div 5) \div £200\,000 \times 100$ (1). Answer: 50% (1). Award full marks for correct numerical answer without working.

CASE STUDY EXTRACT

Cineworld plc is the UK's largest cinema chain. It owns 127 multi-screen cinemas in a variety of city centre and out of town locations. Several sites have 4DX screens, which have seats that move 'in sync' with what is happening in the movie. In 2019, Cineworld had accumulated £2.3 billion of debt due to rapid external growth. Due to the global health crisis in 2020, the government forced a shut-down of all cinemas. Since re-opening in 2021, ticket sales at Cineworld cinemas have been low. The blockbuster movies that normally attract people to the cinema, such as 'Spider-Man: No Way Home', have been lacking in number and quality. Home streaming services, such as Apple TV and Netflix, have made visiting the cinema less attractive. These factors led to Cineworld making a £537 million loss in 2022, leaving the company close to failure. The Cineworld share price has fallen from over £3 in 2019 to less than 2p in 2023. The company needs cash to cover its loan repayments. Rival cinema companies, such as Vue, have encountered similar problems and have reduced the price of a ticket to £6.99 to attract people back to watching movies at the cinema. However, Cineworld has so far refused to do this. It still charges £18.69 for its most expensive tickets.

DATA FOR QUESTION 7

Figure 4 shows the UK market share of the four largest cinema chains in 2016 and 2019. Odeon: 21.9% (2019), 24.3% (2016); Showcase: 6.0% (2019), 5.6% (2016); Vue: 20.0% (2019), 20.4% (2016); Cineworld: 23.0% (2019), 25.4% (2016).

SOURCE PAGES FROM ORIGINAL PAPER

SECTION C

Answer ALL questions. Write your answers in the spaces provided.

In the Source Booklet, look at Figure 3 and read Extract B, then answer Question 7.

- 7 (a) Give **one** non-financial method to motivate employees in a business.

(1)

Figure 4 shows the UK market share of the four largest cinema chains in 2016 and 2019.

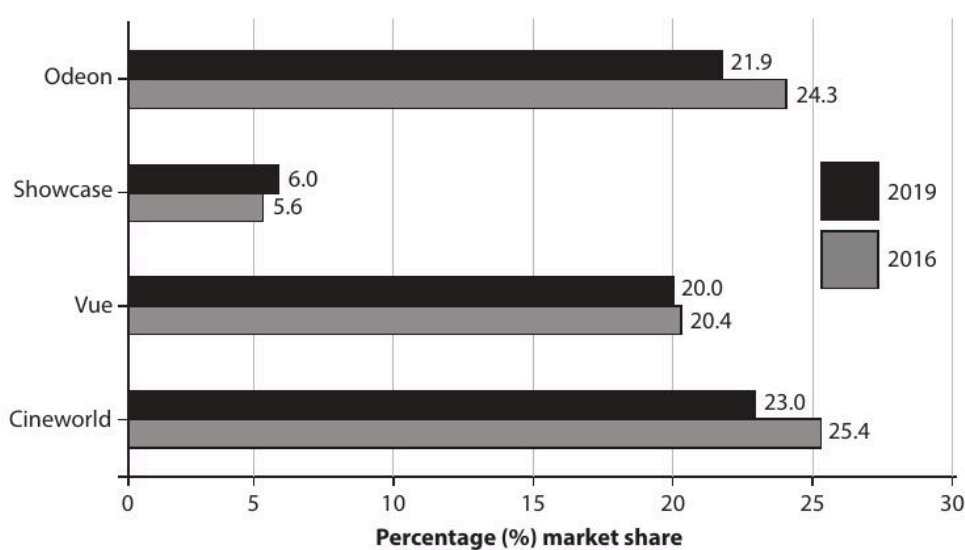


Figure 4

(Source: <https://www.bfi.org.uk/industry-data-insights/statistical-yearbook> 2017 and 2020)

- (b) Using the information in Figure 4, identify the only cinema chain that increased its market share in 2019.

(1)





SECTION C

Look at Figure 3 and read Extract B, then answer Question 7.

Extract B

Cineworld plc is the UK's largest cinema chain. It owns 127 multi-screen cinemas in a variety of city centre and out of town locations. Several sites have 4DX screens, which have seats that move 'in sync' with what is happening in the movie.

In 2019, *Cineworld* had accumulated £2.3 billion of debt due to rapid external growth. Due to the global health crisis in 2020, the government forced a shut-down of all cinemas. Since re-opening in 2021, ticket sales at *Cineworld* cinemas have been low. The blockbuster movies that normally attract people to the cinema, such as 'Spider-Man: No Way Home', have been lacking in number and quality. Home streaming services, such as Apple TV and Netflix, have made visiting the cinema less attractive.

These factors led to *Cineworld* making a £537 million loss in 2022, leaving the company close to failure. The *Cineworld* share price has fallen from over £3 in 2019 to less than 2p in 2023. The company needs cash to cover its loan repayments.



(Source: Chaz Bharj / Alamy Stock Photo)

Figure 3

Rival cinema companies, such as Vue, have encountered similar problems and have reduced the price of a ticket to £6.99 to attract people back to watching movies at the cinema. However, *Cineworld* has so far refused to do this. It still charges £18.69 for its most expensive tickets.

(Source: adapted from © Telegraph Media Group Limited 2022 / 2023)

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Using the information in Figure 4, identify the only cinema chain that increased its market share in 2019.

MARK SCHEME ANSWER

Showcase.